Introduction to Social and Solidarity Economy

Chapter 2 – Types of OSSE: Statutory SSE

RULE Course, Phnom Penh
Jérôme Blanc (Sciences Po Lyon, France)

Introduction

- OSSE = Organizations of SSE
- Historically, and worldwide, SSE develops first through specific legal statutes:

CMAF
Cooperatives – Mutuals - Associations - Foundations

Searching for cases

- Groups of students on different cases of:
  Cooperative, Association (CSO, CBO, NGO), Foundation
- Questions to be dealt with:
  - Sector, activity, location
  - Own presentation and legal statute
  - Who are the members?
  - Who are the beneficiaries?
  - Are there specific rules?
  - Main costs and main resources
  - Which kinds of partners?
  - Are there critical points to the activity?
  - Any astonishment?

Plan of the chapter

1. Cooperatives
2. Mutual societies
3. Associations, CSO, NGOs
4. Foundations

1. Cooperatives

- Definition: a cooperative is…
  "an autonomous association of persons united voluntarily to meet their common social and cultural needs and aspirations through jointly owned and democratically controlled enterprises"
- Cooperatives are based on a share capital:
  - Members are those who subscribe to shares of the capital
  - These shares are nominative
  - They are redeemable, but not saleable: they are not liquid
- Cooperatives are businesses that give a "double quality" to some of their stakeholders:

Double quality **=** member **+** something else

1. Cooperatives

Main types of cooperatives /1:

Type of co-operative	Remarks	Double quality	Cases
Banks and financial services	Origins in popularization of banking services from the end of the 19th century; present case of microfinance through credit unions	Customers and members	Cambodian association federation of Credit Unions (see here, but closed?)

- This includes:
  - Major banking groups, some being "systemic" (their size makes them too big to fail). In Europe, 17% of European banks market, 90 Mn customers
  - "Credit Unions": often small cooperatives, in >80 countries in the world
    - Worldwide supporting organization: WOCCU (click here)
    - In Cambodia: former CMK Credit Mutuel Kampuchea (since then, transformed)

1. Cooperatives

Main types of cooperatives /2:

Type of co-operative	Remarks	Double quality	Cases
Second-level co-operatives	Cooperatives of individual businesses or small firms (peasants, fishermen, shopkeepers…): case of fair trade	Firms and businesses are members	Khmer Organic Cooperative (here), Kompong Speu Palm Tree Agricultural Cooperative (here)

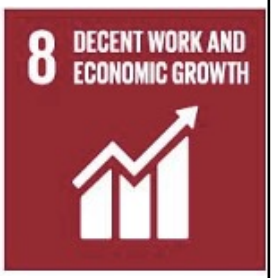
- This includes many agricultural co-ops (collecting and selling products from peasants)
  - → Cambodia : law of 2013 (but they existed already before)
  - → 1217 agricultural co-ops in 2021, and 7% of small peasants are members
  - → Kompong Speu Palm Tree Agricultural Cooperative: 116 members, 1.2 Mn palm trees (2016); obtained a Geographical indication status for its sugar
  - → A problem in Cambodia: ambiguity (for-profit or limited lucrativity?)

1. Cooperatives

Main types of cooperatives /3:

Type of co-operative	Remarks	Double quality	Cases
Workers' co-operative	- Some are created by skilled workers (consultants, printing companies, etc.) - Others are created by the workers of failed company ➢ The historical conflict between capital and labour disappears!	Workers are members (shareholders)	Alternatives Economiques (France), Mondragon (Spain)

- This includes Mondragon cooperatives in Spain : > 60 000 workers, various legal entities, from home appliances to university and bank
- A major advantage: a cooperative cannot decide to move away to get lower costs somewhere else… Because members (workers) decide



1. Cooperatives

- A worldwide organization on cooperatives: ICA

  > 1 Bn members
  > 280 Mn workers

  International Co-operative Alliance
  https://www.ica.coop/en

  - 3 times more coop. members than private companies' shareholders in the world
- ICA Asia-Pacific office in New Delhi, 530 million members
- A worldwide interest:
  - ILO supports co-ops since its creation, in 1919: they would bring fairness and better working conditions
  - UN has declared 2012, then 2025, the "year of co-operatives" (and then a "day" of co-ops) – See here

1. Cooperatives

International Co-operative Alliance
https://www.ica.coop/en

- The ICA defined the "Cooperative principles" (Statement on the Co-operative Identity, 1995):
  1. Voluntary and open membership
  2. Democratic member control (one person, one voice)
  3. Member economic participation
  4. Autonomy and independence (from public authorities and political parties)
  5. Education, training and information
  6. Co-operation among co-operatives
  7. Concern for Community
- Those principles establish a strong difference with soviet-like co-ops (freedom, governance rights, etc.)

2. Mutual Societies

- Definition:

  Groupings of persons with social-welfare objectives
  and without a profit motive,
  whose goal is to provide protection against the consequences of various social risks to their members and members' families

  …The scope of solidarity is defined democratically by the members through their elected body

- 3 possible activities:
  - Health insurance and pensions
  - Medical and care services through social and medical establishments
  - General insurance

2. Mutual Societies

- Membership is voluntary
  - … and complementary to virtual compulsory social protection
  - … in possible competition with for-profit insurance companies
- They are based on the principle of mutual support
  - Solidarity rules may (should?) be implemented:
    - Non-discrimination (e.g. between healthy and sick people)
    - Possible proportionality of fees to incomes
- Mutuals (notably with NGO statutes) *may* be oriented toward the poor who cannot get insurances from profit-based companies
  - That was the case of Sky Insurance, around 2010 in Cambodia: an NGO linked to microfinance, and which provided a protection system for the poor (small fee + free care in local health centers)

2. Mutual Societies

- Economic importance:
  - Europe : 21% of the European market, 80 million members, 200 000 workers
  - Rapidly emerging mutual sector in Chile, Brazil, Subsaharian Africa…
- Contributions to SDGs:

3. Associations

- In Cambodia, the most general term CSO (civil society organizations) covers
  - Associations
  - CBO (community-based organizations)
  - NGOs, local and international
  - → in Cambodia, the LANGO (Law on Associations and Non-Governmental Organizations) of 2015 frames the sector
- Definition:
  An association is a grouping of persons aiming at a common interest (economic or not) on a not-for-profit way
- Legal statutes induce:
  - Democratic organization (one person, one voice) in general assemblies of members
  - Not-for-profit organization (we then talk of "NPOs")

3. Associations

- Civil society organizations…
  - must not be confused with governments…
  - … nor with society itself: they defend collective interest that can be different from the general interest
  - They do not always develop economic activities
- 6% of total employment of OECD countries

3. Associations

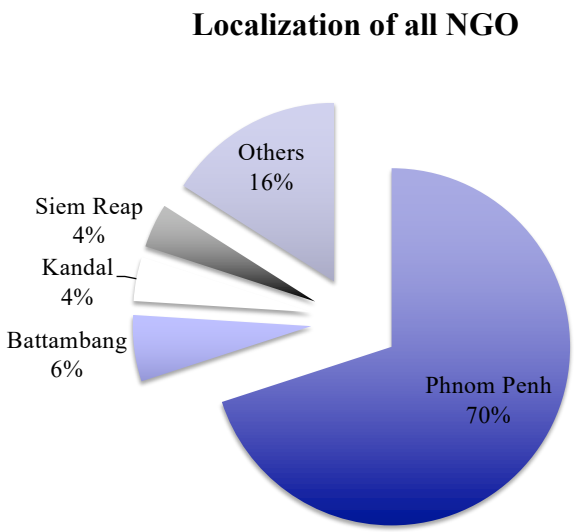
- Types of economic activities:
  - Apart from market (UK, Italy, USA…) :
    CSO do not compete with profit-oriented businesses and are primarily driven by volunteers
  - Inside and outside the market (France, Cambodia):
    Some compete (or simply co-exist) with profit-oriented businesses, while others not
- Resources are diverse:
  - Market resources, if any
  - Non-market resources: donations, membership fees, public subsidies, grants from foundations, volunteering…
    - Members are those who apply for membership by paying an annual fee

3. Associations

- Why serving as a volunteer ?
  - ✓ Symbolic acknowledgement and self-image improvement;
    Networking;
    Being occupied while retired;
    Being charitable;
    Doing the good;
    Getting merits;
    Building one's experience
  - ✓ But also: Sharing experience; promoting reciprocity

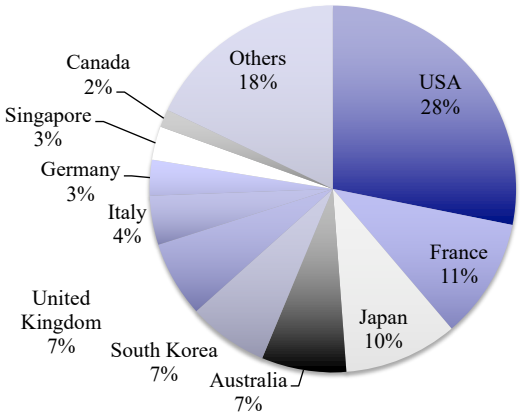
3. Associations

- NGOs in Cambodia :
  > 5000 NGOs,
  > 50 000 employees
- National and international ones



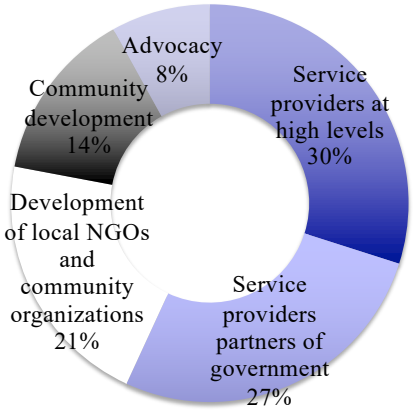
3. Associations

Origins of International NGOs in Cambodia (2012)



- International NGOs in Cambodia

Activities of International NGOs in Cambodia (2012)



3. Associations

- National NGOs in Cambodia

Activities of Local NGOs in Cambodia (2012)

3. Associations

- Trannin highlighted 3 possible "drifts" of NGOs in Cambodia (as of 2005):
  - Business drift:
    temptation to build an NGO rather than a company to benefit from its specific legal (& fiscal) framework
    → hence NGOs which are also "social enterprises" (see chapter 3)
  - Political drift:
    links of International NGOs to the government of their originating country
  - Religious drift:
    how to balance the social/economic goal of the NGO and its possible religious position?

3. Associations

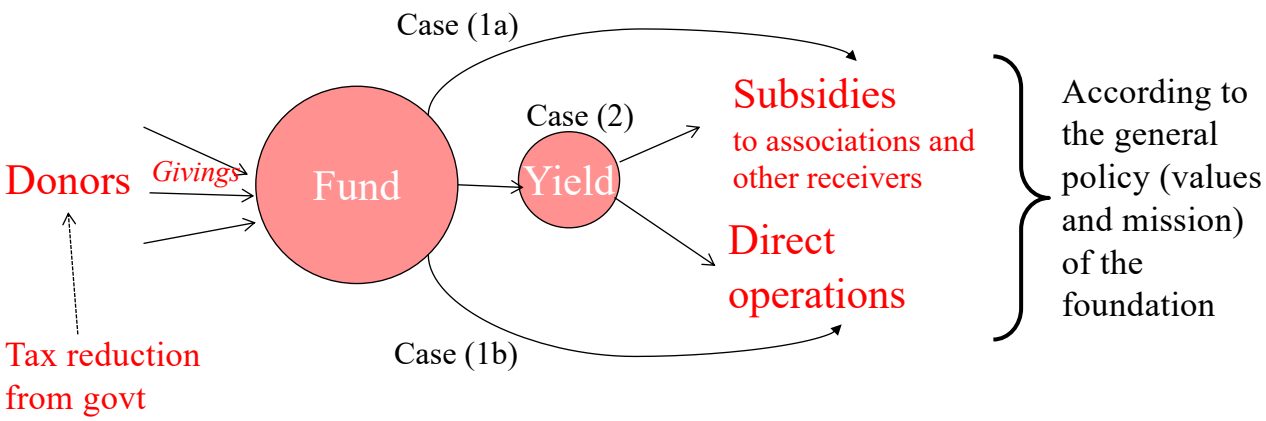
- Since then, the government developed rules to recognize, integrate and control NGOs: (Thesis of Fontana, 2025)
  - Recognizing the "contributions of NGOs to health, education, community well-being, rural development and agriculture" (DCPR, 2022)
  - Organizing forums (on development, on humanitarian response) to consult NGOs on relevant topics, generating an annual official report on NGOs
  - This leads to an official recognition of NGOs as far as they comply to the legal framework, they do not take political positions and they focus on fieldwork intervention

4. Foundations

- A foundation is a legal entity…:
  - Created by individuals, a family, a company, a government…
  - Who fund it without any rights on the returns of investments (a foundation is non-profit)… → there are no members
  - And that serves common or general-interest (?) purposes…
  - By granting resources to beneficiaries, or by implementing itself activities that serve its purposes

4. Foundations

- Foundations notably act as financial intermediaries:



- In case (1a, b), the foundation is required to permanently get new funds, to replace those that have been spent
- In case (2), the foundation requires high amounts of funds to get a much smaller amount of expenses

4. Foundations

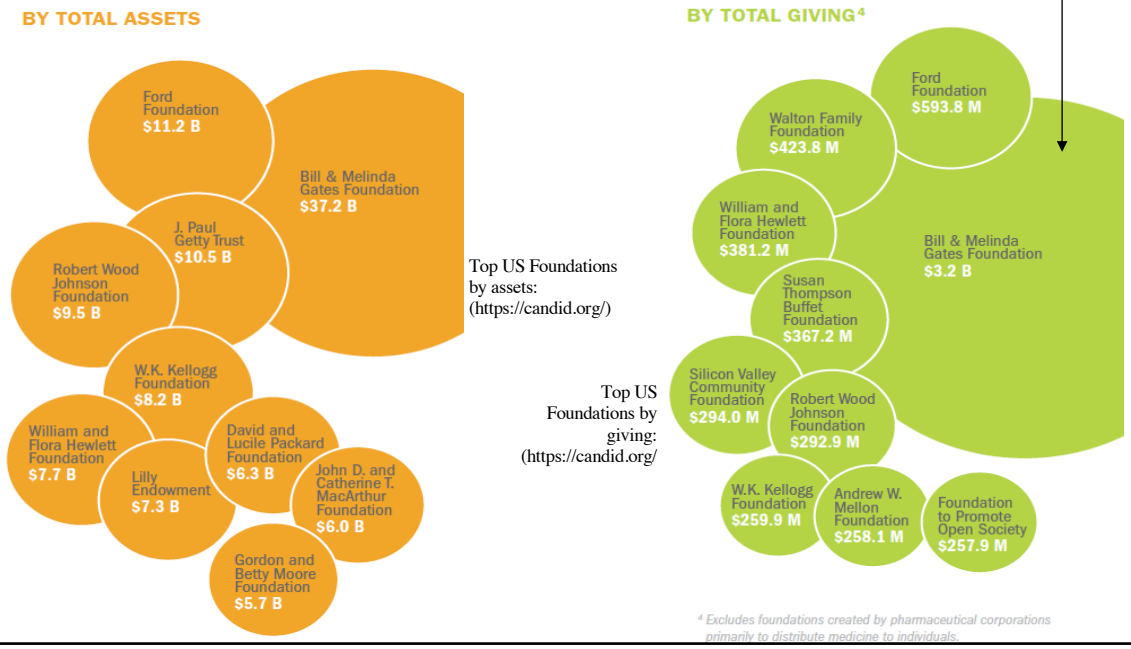
- Foundations can be seen as the externalization of someone's policy:
  - Governmental policies, in some cases
    - Cf foundations built by Australian government
  - Firms' policies: foundations as the result of CSR policies or philanthropy (e;g. TotalEnergies Foundation, Prince Foundation…)
  - Individuals' policies: philanthropy of the wealthiest (e.g. Billand Melinda Gates Foundation), and people willing to support them

- The philanthropic basis is well suited for specific religious contexts
  - E.g. Christian protestant
  - Or Muslim's obligation of charity of the wealthy, through the "waqf"
  - In Buddhist countries, is this role traditionally fulfilled by pagodas?

4. Foundations

World Health Org. budget (2014): nearly 2 Bn$

- Some foundations, originating from industrial, commercial or financial fortunes, are very important:



4. Foundations

- Example: Krousar Thmey, French-Swiss foundation for deprived children (deaf and blind), under NGO statute in Cambodia
- Some originate in religious movements.
  For example, Christian protestant north-American foundations are especially powerful and finance projects throughout the world.

4. Foundations

- Example of donors who fund the Asia Foundation (www.asiafoundation.org)

Government: Bilateral & Multilateral Institutions

Asian Development Bank
Australian Agency for International Development
British Council
British High Commission in Pakistan
Canadian International Development Agency
Danish International Development Agency
Department for International Development, United Kingdom
The Global Fund to Fight Aids, Tuberculosis, and Malaria
International Finance Corporation
Royal Netherlands Embassy in Jakarta, Indonesia
United States Agency for International Development
United States Congress
United States Department of Labor
United States Department of State
United States Environmental Protection Agency
The World Bank

DONORS

THE ASIA FOUNDATION

Trustees & Individuals

Anonymous (1)
David R. Andrews
Michael H. Armacost
Jennifer Armstrong
Purnima Bajpai

Corporations, Foundations & Organizations

Anonymous (5)
Asia Financial Group
Bank of America
The Boeing Company
Chevron Corporation
Po and Helen Chung Foundation
Consulate General of the People's Republic of China
East Bay Community Foundation

OVERVIEW

Download the following in printable PDF format (632KB).

The Asia Foundation programs in Cambodia are focused on three core areas: economic reform and development; civil society development; and counter-trafficking. In a country where years of turmoil have finally given way to stability, economic growth is poised to lift thousands of Cambodians out of the crushing poverty that has dogged this country for decades.

The Asia Foundation's programs in Cambodia are conducted with support from the governments of Australia, Denmark, New Zealand, the United Kingdom, and the United States, as well as from the World Bank and many private donors.

4. Foundations

- Two discussion points, as to all public-benefit organizations like Foundations and many Associations:
  - Private organizations may implement collective choices (e.g. support to genetically-modified crops by Bill & Melinda Gates Foundation) → What is their legitimacy?
  - They can also spread because the State / government does not solve important issues (social, environmental) → does this allow the governmental withdrawal from these major issues?